Before you file

Do the 10 steps in order. Don't file until every step has proof in the client folder.

STEP 1 — Intake & consent
Engagement letter, 7216 consent, both IDs, last year's return, IRS transcript.

STEP 2 — Match all income
Every 1099-K + 1099-NEC + income with no form = Schedule C line 1.

STEP 3 — Expenses by line
App fees line 10 · car 9 · car rent 20a · supplies 22 · phone 25 · no lumps.

STEP 4 — Vehicle test
Online miles ÷ odometer miles. Second personal car? (page 2)

STEP 5 — Family & credits
Each child: SSN, birth date, record with the home address.

STEP 6 — Due diligence
Form 8867 from documents. Keep copies 3 years.

STEP 7 — Red-flag scan
Check the 8 red flags on page 2.

All proof in the folder?

NO — Send the request list (page 3), then back to step 1

YES

STEP 8 — Prepare & review
Prepare in software; compare with the Falcon Preparer summary.

STEP 9 — Client signs & files
Explain the refund, sign Form 8879, verify the bank account.

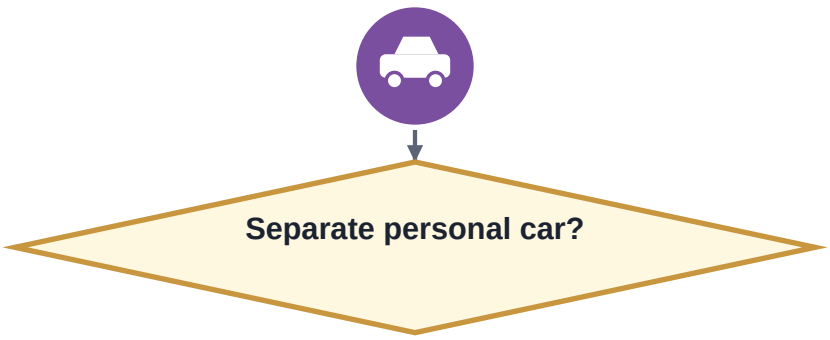
STEP 10 — Audit-ready folder
Return + 8867 + all proof in the portal. Keep 3 years.

Golden rule — A number is only as strong as the document behind it.

Internal guide, not legal advice. Confirm rates on irs.gov each year.

The car & red flags

The biggest deduction and the biggest audit risk. Write the miles down.



YES: ~100% business

Keep the personal car's registration + insurance, the rental contract, odometer start & end.

NO: business % only

Errands and school runs are personal. Deduct only the business share.

Business % =

app online miles ÷ odometer miles

example: 40,000 ÷ 45,000 = 89%

Actual costs	Mileage rate
(rent + gas + insurance + repairs + car wash) × business %	2026: 72.5¢ Jan–Jun
Best when rent is high	76¢ Jul–Dec (2025: 70¢)
	Leased car: keep it for the whole lease

Compare both; the Falcon estimator does it for you. Tolls & parking: either way.

8 red flags the IRS notices

1. Income ≠ total of all 1099s
2. One big 'other expenses' lump
3. Car costs without a mileage record
4. Meals for a driver who sleeps at home
5. Withholding no form shows
6. Profit right at the EITC peak, weak records
7. 'Materially participate: No' for a worker
8. Children without a home-address record

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Client list & IRS letters

Text this list to every self-employed client. If a letter comes, follow the 6 steps.

Income

- [ ] All 1099-K & 1099-NEC
- [ ] App yearly tax summaries
- [ ] Any W-2 / 1099-G / 1099-R

Car

- [ ] Rental or lease contract
- [ ] Odometer photo Jan 1 & Dec 31
- [ ] Gas & car-wash receipts

Costs

- [ ] Phone bill
- [ ] Supplies & tolls
- [ ] Items over $2,500

Family

- [ ] Children's SSN & birth dates
- [ ] School/medical record with address
- [ ] Childcare provider & amount

Payments

- [ ] IRS & state payment proof
- [ ] Last year's return & letters
- [ ] Photo IDs, bank account

Privacy

Only through the secure portal. Never by email or text.

If an IRS letter arrives

1. **Read it**
   Notice number + reply-by date (usually 30 days)
2. **Get authority**
   Form 2848 so you can speak for the client
3. **Pull the folder**
   Match each request to a document
4. **Answer each point**
   Cover letter + numbered copies, never originals
5. **Send & track**
   Before the deadline; keep proof of sending
6. **Outcome**
   Accepted, or agree / appeal / payment plan

Never ignore a letter: no answer = the IRS takes the refund back.

Year-round calendar

Jan 1	Odometer photo	Jan 15	Q4 estimated tax
Jan 31	1099s arrive	Apr 15	File + Q1 estimate
Jun 15	Q2 + odometer photo	Sep 15	Q3 estimate
Oct 15	Extended returns due	Dec 31	Odometer photo

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